Case category No.

761/31561/17

: Cases concerning administrative offences (from 01.01.2019); Under procedural legislation; Under the CPC of Ukraine; Motions of an investigator, prosecutor or party to criminal proceedings.

Sent for publication: **08.09.2017.** Registered: **08.09.2017.** Public access made available: **11.09.2017.**

Date of entry into legal force: **18.09.2017**
Court proceeding number: **not specified**
Criminal proceeding number in the ERDR: **not specified**

Case No. 761/31561/17

Proceeding No. 1-ks/761/20068/2017

RULING

IN THE NAME OF UKRAINE

On 07 September 2017, investigating judge of the Shevchenkivskyi District Court of Kyiv P.L. Slobodianiuk, with the participation of court session secretary M.V. Demeshko and investigator T.V. Samoliuk, having considered a motion for the seizure of property within the pre-trial investigation entered in the ERDR under No. 22017000000000272 on 6 July 2017, concerning indications of a criminal offence provided for by Part 1 of Article 14 and Article 113 of the CC of Ukraine,

E S T A B L I S H E D:

Senior Investigator for Particularly Important Cases of the 1st Department of the 1st Directorate of Pre-Trial Investigation of the Main Investigation Directorate of the Security Service of Ukraine T.V. Samoliuk applied to the Shevchenkivskyi District Court of Kyiv with a motion approved by prosecutor of a division of the Prosecutor General's Office of Ukraine S.M. Pavlovskyi, requesting seizure of ordinary registered shares of JSC "Motor Sich" (USREOU 14307794), recorded in securities accounts opened with the depository institution PJSC "OTP Bank" (USREOU 21685166), namely: account No. 300137-СУ20008474 of "Likatron Enterprises Limited" (HE 340841, Cyprus), comprising 207 592 shares; account No. 300137-СУ20008473 of citizen of the People's Republic of China Wang Xinlei (code 3189626758), comprising 104 107 shares, with suspension of debit transactions, including the transfer and write-off of securities. The investigator also requests that the owners or any persons authorised by them be prohibited from alienating and disposing of ordinary registered shares of JSC "Motor Sich" (USREOU 14307794), recorded in securities accounts opened with the depository institution PJSC "OTP Bank" (USREOU 21685166), namely: account No. 300137-СУ20008474 of "Likatron Enterprises Limited" (HE 340841, Cyprus), comprising

207 592 shares; account No. 300137-СУ20008473 of citizen of the People's Republic of China Wang Xinlei (code 3189626758), comprising 104 107 shares; and also requests that state registrars of legal entities and individuals of the Ministry of Justice of Ukraine, all district state administrations, notaries, entities accredited by the State Registration Service of Ukraine, PJSC "OTP Bank" (USREOU 21685166) and PJSC "National Depository of Ukraine" (USREOU code 30370711) be prohibited from taking any actions connected with re-registration and the introduction of changes concerning the ordinary registered shares of JSC "Motor Sich" (USREOU code 14307794) owned by the said company and individual. In addition, the investigator requests that officials of the depository institution PJSC "OTP Bank" (USREOU 21685166) be ordered, pursuant to paragraph 6 of Article 7 of the Law of Ukraine "On the Depository System of Ukraine", to ensure the immediate provision to the prosecutor, investigator or operational officers who will execute this ruling on seizure of property of a certificate confirming the restrictions imposed pursuant to this ruling, stating the balance of securities in the relevant accounts of "Likatron Enterprises Limited" and citizen of the People's Republic of China Wang Xinlei (Wang Xinlei).

As the investigator states in the motion, during the period from 2016 to the present, unidentified persons among the current and former officials and ultimate beneficial owners of Public Joint-Stock Company "Motor Sich" (USREOU 14307794, hereinafter — JSC "Motor Sich"), acting by prior conspiracy with each other, with the purpose of weakening the state by destroying the said enterprise as a facility of important national economic and defence significance (the only enterprise in Ukraine manufacturing civil and military aircraft engines), carried out a series of transactions for the sale and purchase of a controlling stake in the Company in favour of foreign companies "Business House Helena, AG" (Panama), "Enfields Trade & Capital Corp." (Panama), "Waldo Trade Ltd." (Virgin Islands), "Granum Corporation" (Panama), "Skyrizon Aircraft Holdings Limited" (Virgin Islands), "Likatron Enterprises Limited" (Cyprus), and "Ventalina Management Ltd" (Nevis), which intend to move the Company's assets and production facilities outside Ukraine, which will lead to its liquidation and destruction.

Further, as the investigator states, on 25.02.2015 JSC "Motor Sich" and "Beijing Skyrizon Aviation Industry Investment Co., Ltd." (People's Republic of China) concluded a Memorandum of Cooperation for the purpose of establishing an aircraft engine manufacturing plant in Chongqing, People's Republic of China. To implement it, a working group of specialists of JSC "Motor Sich" was formed, who travel to China, and on 06.04.2016 JSC "Motor Sich" received USD 100 million from "Skyrizon Aircraft Holdings Limited" (British Virgin Islands) at 0.3% per annum under loan agreement No. 3104/16-D(PEU) dated 29.01.2016, under which the loan repayment period is 10 years from the date the loan was provided.

In addition, as the investigator states, it has been established that "Beijing Skyrizon Aviation Industry Investment Co., Ltd." owns 100% of the authorised capital of "Hong Kong Skyrizon Holding Limited" (Hong Kong), which in turn owns 100% of the authorised capital of "Skyrizon Aircraft Holdings Limited".

Further, according to the motion, during 2016 citizen of Ukraine V.O. Boguslayev, exercising control over the economic activities of JSC “Motor Sich” as its principal shareholder (personally holding 15.83% of the shares, holding 17.3113% through the company “Business House Helena” controlled by him, and holding 15.7% through LLC “Garant Invest”, LLC “Garant Alpha”, CJSC “Trading House ‘Olena’”, insurance company “Motor Garant” and others controlled by him), acting intentionally and knowing for certain that JSC “Motor Sich” is the only Ukrainian enterprise manufacturing aircraft engines, including for military use, in collusion with the owner of the Chinese company “Beijing Skyrizon Aviation Industry Investment Co., Ltd.”, citizen of the People’s Republic of China Wang Jing, and his trusted persons, being aware of the possibility of weakening Ukraine as a state through the destruction of JSC “Motor Sich”, which is of national economic and defence significance, by moving Ukrainian production and technology abroad in implementation of the Memorandum of Cooperation dated 25.02.2015, sold shares of JSC “Motor Sich” belonging to him and to legal entities controlled by him in favour of trusted persons and companies affiliated with Wang Jing, thereby enabling the latter indirectly to acquire 56.009% of the shares of JSC “Motor Sich”, which will ensure more than 50% of the votes in the Company’s highest governing body, that is, full control over JSC “Motor Sich”.

According to application No. 15-10/317-EKк dated 09.06.2017 seeking authorisation from the Antimonopoly Committee of Ukraine for a concentration, submitted on behalf of “Skyrizon Aircraft Holdings Limited” and JSC “Motor Sich”, the Company’s shares are distributed among entities controlled by Wang Jing as follows: “Skyrizon Aircraft Holdings Limited” (Virgin Islands) holds 9.9992%; “Business House Helena, AG” (Panama) — 17.3113%; “Enfields Trade & Capital Corp.” (Panama) — 3.1152%; “Waldo Trade Ltd.” (Virgin Islands) — 1.3035%; “Granum Corporation” (Panama) — 9.2717%; “Likatron Enterprises Limited” (Cyprus) — 9.99%; Wang Xinlei — 5.01%.

Also, as the investigator refers to in the motion, according to letter of the Antimonopoly Committee of Ukraine No. 24-25/01-7578 dated 12.07.2017, the above-mentioned companies and individuals acquired shares of JSC “Motor Sich” in 2016, which may indicate signs of a violation of legislation on the protection of economic competition in the form of an indirect acquisition of shares of JSC “Motor Sich” by an individual — a citizen of China, ensuring more than 50% of the votes in the Company’s highest governing body, without obtaining the corresponding authorisation of the bodies of the Antimonopoly Committee of Ukraine, which is required.

In its letter, the Antimonopoly Committee of Ukraine indicates the need to take measures aimed at preventing further re-registration of title to shares of JSC “Motor Sich”. The enterprise, as stated in letter of the Ministry of Economic Development and Trade of Ukraine No. 272-11/25661-05 dated 26.07.2017, carries out the state defence order for the repair and modernisation of aviation equipment and is also of important significance for the economy and defence capability of Ukraine.

As the investigator further states in the motion, the ordinary registered shares of JSC "Motor Sich" acquired by companies and individuals controlled by Wang Jing in the circumstances set out above are recorded in securities accounts opened with the depository institution PJSC "OTP Bank" (USREOU 21685166), namely: "Likatron Enterprises Limited" (HE 340841, Cyprus), account No. 300137-СУ20008474 — 207 592 shares, constituting 9.99% of the authorised capital; citizen of the People's Republic of China Wang Xinlei (code 3189626758), account No. 300137-СУ20008473 — 104 107 shares, constituting 5.01% of the authorised capital. These have been recognised as physical evidence in the said criminal proceeding, and therefore, to ensure their preservation, the investigator requests that the said motion be granted.

At the court hearing, the investigator supported the motion on the grounds set out therein and requested that it be granted.

The property holder was not notified of the hearing on the motion, since the property had not been temporarily seized; the court therefore considers it possible, under Part 2 of Article 172 of the CPC of Ukraine, to hear the motion in that person's absence.

Having examined the arguments of the motion and the materials attached to it and having heard the investigator's explanations, I conclude that this motion must be granted, for the following reasons.

As established at the court hearing, the MID SSU is conducting a pre-trial investigation in criminal proceeding No. 22017000000000272, entered in the Unified Register of Pre-Trial Investigations on 06.07.2017, concerning indications of a criminal offence under Part 1 of Article 14 and Article 113 of the CC of Ukraine.

Pursuant to the ruling of Senior Investigator for Particularly Important Cases of the 1st Department of the 1st Directorate of Pre-Trial Investigation of the Main Investigation Directorate of the Security Service of Ukraine T.V. Samoliuk on the recognition of physical evidence dated 7 September 2017, the ordinary registered shares of JSC "Motor Sich" (USREOU 14307794), recorded in securities accounts opened with the depository institution PJSC "OTP Bank" (USREOU 21685166), namely: account No. 300137-СУ20008474 of "Likatron Enterprises Limited" (HE 340841, Cyprus), comprising 207 592 shares; account No. 300137-СУ20008473 of citizen of the People's Republic of China Wang Xinlei (code 3189626758), comprising 104 107 shares, have been recognised as physical evidence within criminal proceeding No. 22017000000000272 dated 6 July 2017.

Pursuant to Part 2 of Article 170 of the CPC of Ukraine, seizure of property is permitted, among other things, for the purpose of ensuring the preservation of physical evidence. The requirements of the said article provide that, in such a case, seizure is imposed on the property of any individual or legal entity where there are sufficient grounds to believe that it meets the criteria specified in Article 98 of this Code.

Pursuant to the provisions of Article 98 of the CPC of Ukraine, physical evidence comprises material objects that were instruments of the commission of a criminal offence, have retained its traces or contain other information that may be used as

evidence of facts or circumstances established during criminal proceedings, including objects that were the subject of criminally unlawful acts, money, valuables and other things acquired through criminally unlawful means or obtained by a legal entity as a result of the commission of a criminal offence.

Thus, taking into account the circumstances of the said criminal proceeding and the fact that the said ordinary registered shares of JSC "Motor Sich", recorded in securities accounts opened with the depository institution PJSC "OTP Bank", fully meet the criteria specified in Article 98 of the CPC of Ukraine and therefore reasonably have the legal status of physical evidence, in order to ensure their preservation, in the investigating judge's conviction, there are all legal grounds for imposing seizure on the said property.

In these circumstances, guided by the requirements of Articles 117, 132, 170, 172, 173 and 175 of the CPC of Ukraine, the investigating judge

R U L E D:

To grant the motion of Senior Investigator for Particularly Important Cases of the 1st Department of the 1st Directorate of Pre-Trial Investigation of the Main Investigation Directorate of the Security Service of Ukraine T.V. Samoliuk.

To impose seizure on property, namely the ordinary registered shares of JSC "Motor Sich" (USREOU 14307794), recorded in securities accounts opened with the depository institution PJSC "OTP Bank" (USREOU 21685166), namely: account No. 300137-СУ20008474 of "Likatron Enterprises Limited" (HE 340841, Cyprus), comprising 207 592 shares; account No. 300137-СУ20008473 of citizen of the People's Republic of China Wang Xinlei (code 3189626758), comprising 104 107 shares, suspending debit transactions, including the transfer and write-off of securities.

To prohibit the owners or any persons authorised by them from alienating and disposing of ordinary registered shares of JSC "Motor Sich" (USREOU 14307794), recorded in the said securities accounts opened with the depository institution PJSC "OTP Bank" (USREOU 21685166); and also to prohibit state registrars of legal entities and individuals of the Ministry of Justice of Ukraine, all district state administrations, notaries, entities accredited by the State Registration Service of Ukraine, PJSC "OTP Bank" (USREOU 21685166) and PJSC "National Depository of Ukraine" (USREOU code 30370711) from taking any actions connected with re-registration and the introduction of changes concerning the ordinary registered shares of JSC "Motor Sich" (USREOU code 14307794) owned by the said company and individual.

To order officials of the depository institution PJSC "OTP Bank" (USREOU 21685166) to ensure the immediate provision to the prosecutor, investigator or operational officers who will execute the ruling on seizure of property of a certificate confirming the restrictions imposed pursuant to this ruling, stating the balance of

securities in the relevant accounts of “Likatron Enterprises Limited” and citizen of the People’s Republic of China Wang Xinlei (Wang Xinlei).

The ruling is subject to immediate execution.

An appeal against the investigating judge’s ruling may be lodged directly with the Court of Appeal of Kyiv within five days from the date of its pronouncement. If the court ruling was made without summoning the person appealing against it, the period for appeal for that person is calculated from the day on which they receive a copy of the court decision.

Investigating Judge P.L. Slobodianiuk